

INSURANCE AND PENSIONS COMMISSION



LIFE REPORT FOR LIFE ASSURERS

FOR THE QUARTER ENDED 30 SEPTEMBER 2015

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
NOTE:	ALL MONETARY FIGURES ARE IN USD



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2.0 Industry Overview

For the current reporting period, the life assurance industry was composed of 11 Life companies and 2 reinsurance companies. Direct life companies and re-insurers wrote \$244 million in net premiums, a 12% growth from \$223million realized in the comparable period last year. Total expenditure was \$174million(September 2014:\$167million).This resulted in a \$69million technical profit (September 2014: \$52million).The expense and combined ratios were reportedly 24% and 71% respectively.

Total assets declined by 5% from \$1,641 billion last year to \$1,557billion as at 30 September 2015.This is an indication of negative investment returns by major asset classes like equities and properties as a result of depressed market imperatives or conditions.

Major risks affecting life companies included compliance in relation to capitalization, prescribed assets ratio, liquidity risks, bank balances trapped in failed banks among others. Table 1, below summarizes the key financial highlights of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the period ended 30 September 2015(Cumulative)

Item	Life Assurers			Life Reassurers			TOTALS		
	Sep 2014	Sep 2015	Growth	Sep 2014	Sep 2015	Growth	Sep 2014	Sep 2015	Growth
Gross Premiums Written (\$000)	215,329	242,048	12%	7,247	6,995	-3%	223,207	249,043	12%
Net Premiums Written (\$000)	212,343	237,841	12%	6,133	5,742	-6%	218,476	243,583	11%
Retention Ratio	98%	98%	0	85%	82%	3%	98%	98%	-
Total Gross Claims (\$000)	109,213	113,586	4%	2,652	2,471	-7%	2,652	116,057	4276%
Total Net Claims (\$000)	108,592	112,825	4%	2,652	2,471	-7%	111,244	115,296	4%
Management Expenses (\$000)	43,368	44,913	4%	972	1,169	20%	44,340	46,082	4%
Commissions (\$000)	9,318	11,362	22%	2,000	1,331	-33%	11,318	12,693	12%
Total Costs(\$000)	161,278	169,099	5%	5,624	4,971	-12%	166,902	174,070	4%
Technical Profit(000)	51,095	68,742	35%	509	771	2%	51,604	69,513	35%
Expense Ratio (%)	25%	24%	-1%	48%	44%	4%	25%	24%	-1%
Claims Ratio	51%	47%	4%	43%	43%	-	51%	47%	4%
Combined Ratio	76%	71%	-5%	92%	87%	5%	76%	71%	5%
Total Assets (\$000)	1,627,561	1,542,753	-5%	13,607	13,913	2%	1,641,168	1,556,666	-5%
Current Assets	319,089	327,078	3%	4,858	5,121	5%	323,947	332,199	3%
Current Liabilities	165,350	105,059	-36%	1,309	1,437	10%	166,659	106,496	-36%
Total Liabilities (\$000)	1,376,916	1,271,975	-8%	6,405	6,815	6%	1,383,321	1,278,790	-8%
Free Capital(\$000)	255647	270,778	6%	7,201	7,098	-1%	262,848	277,876	6%
Liquidity/Current Ratio	193	311%	118	371%	356%	-15%	194%	312%	118%
Capital to liability Ratio	19	21%	2%	112%	104%	-8%	19%	22%	3%
Prescribed Asset	33,484	83,211	149%	20	523	2515%	33,854	83,734	147%
Prescribed Asset Ratio (%)	2%	5%	3%	0	4%	0	2%	5%	3%

Section A

Life Assurance Companies

3.0 Update on Number of Operational Institutions

This report was centered on 11 direct life companies.

4.0 Net Premiums Written

For the period under review, life companies reportedly wrote \$239million in net premiums (September 2014:\$212million),a 12% year on year growth rate(See Table 2, below).

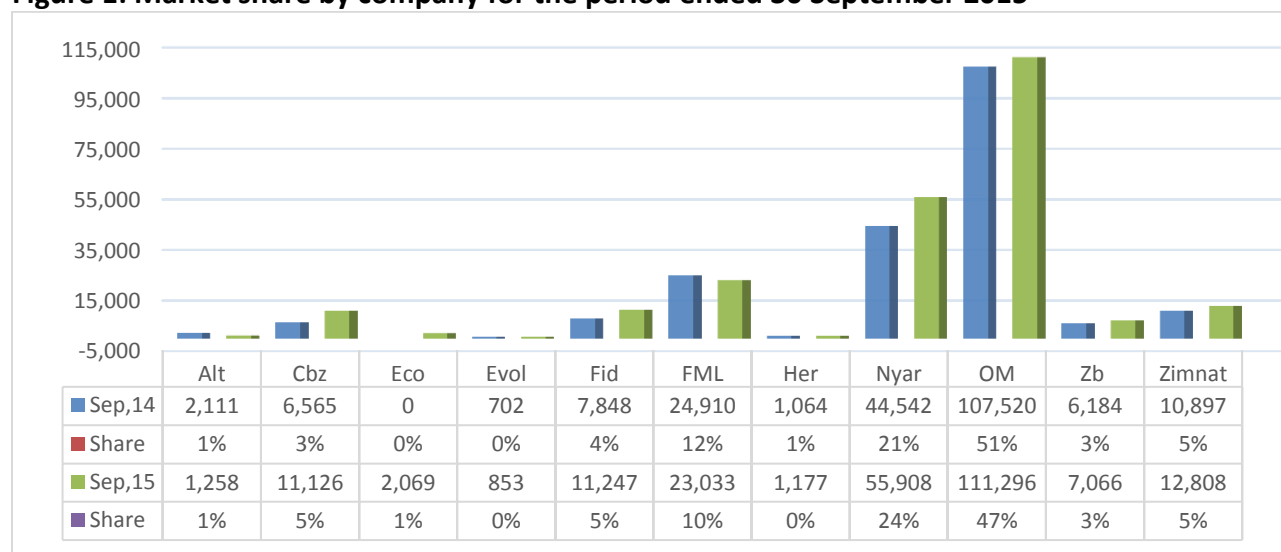
Table 2: Net Written Premium Distribution by Company for the period ended 30 September 2015

Name of Company	NPW (USD 000)		Growth
	Sep-14	Sep-15	%
Altfin	2,111	1,258	-40%
Cbz	6,565	11,126	69%
Econet	0	2,069	0%
Evolution	702	853	22%
Fidelity	7,848	11,247	43%
FML	24,910	23,033	-8%
Heritage	1,064	1,177	11%
Nyaradzo	44,542	55,908	26%
Old Mutual	107,520	111,296	4%
Zb Life	6,184	7,066	14%
Zimnat	10,897	12,808	18%
TOTAL	212,343	237,841	12%

5.0 Market Share For Life Assurance Companies

For the period under review, the three biggest players controlled \$190 million or 84% in net premium written (September 2014:\$177 million or 84%). We continue to implore the industry to engage in non-price competition strategies that respond to current socio-economic fundamentals particularly product innovation responding to the informal sector needs and income patterns (See Figure 1,below).

Figure 1: Market share by company for the period ended 30 September 2015



6.0 Business Composition by Income Stream

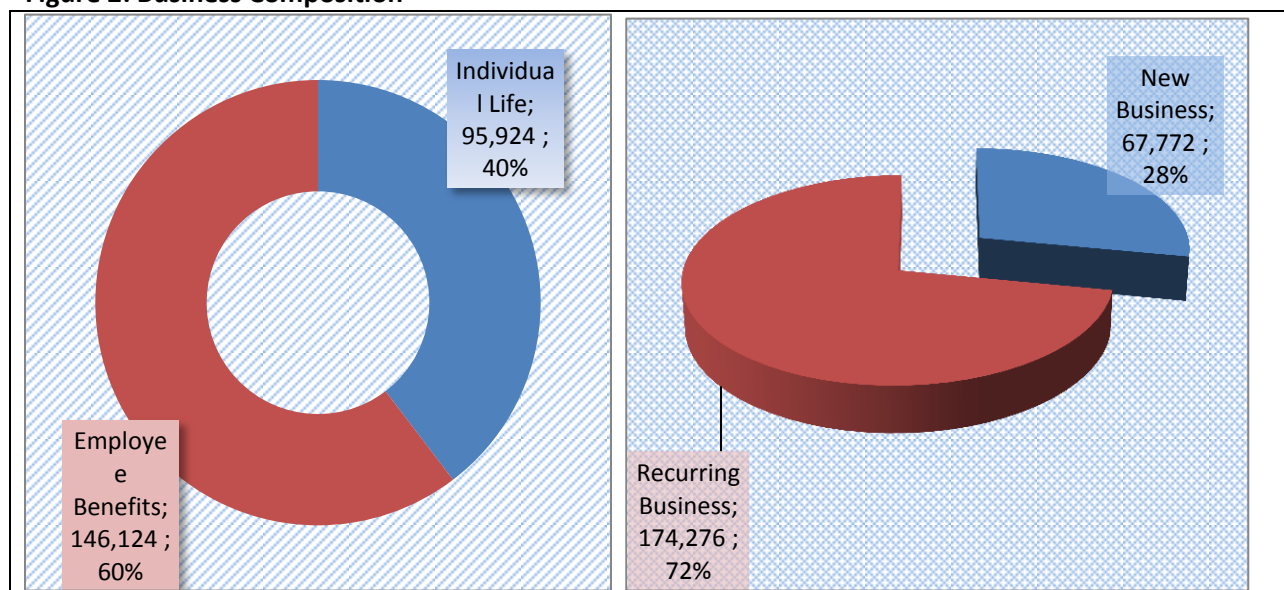
For the cumulative period to 30 September 2015, gross premium written grew by 12% from \$215 million to \$242million. The GWP was further broken down into recurring business: \$174 million or 72% and \$68 million or 28% being new business (September 2014: \$198million or 92%: \$17million or 8%).

Employee benefits business was \$96million or 60% (September 2014:\$150million or 69%) of gross premiums whilst \$160million or 40% was individual life assurance (September 2014:\$66million or 31%). Negative growth rate was evident on Corporate business (employee benefits) as a result of the challenging business conditions (See Table 3 and Figure 2, below).

Table3: Business Composition by Company for the period ended 30 September 2015

Co. Name	Individual Life (\$000)						Employee Benefits (\$000)						Totals (\$000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums			Gross Premiums Written		
	Sep-14	Sep-15	%	Sep-14	Sep-15	%	Sep-14	Sep-15	%	Sep-14	Sep-15	%	Sep-14	Sep-15	%
Altfin	0	0	0	160	347	117%	0	0	0%	2,168	1,032	-52%	2,328	1,379	-41%
CBZ Life	118	884	649%	5,159	6,167	20%	0	0	0%	1,497	4,484	200%	6774	11,535	70%
Econet	0	1,650	0	0	604	0	0	39	0%	0	0	0%	0	2,293	0%
Evolution	111	137	23%	593	717	21%	0	0	0%	0	0	0%	704	854	21%
Fidelity	524	534	2%	2,563	4,310	68%	0	6,279	0%	4,975	469	-91%	8062	11,592	44%
FML	1,887	1,580	-16%	9,395	10,933	16%	4,394	4,268	-3%	9,478	6,601	-30%	25,154	23,382	-7%
Heritage	2	1,011	50450%	748	157	-79%	0	0	0%	344	36	-90%	1,108	1,204	9%
Nyaradzo	1,082	1,141	5%	30,612	43,700	43%	418	96	-77%	12,430	10,971	-12%	44542	55,908	26%
O. Mutual	2,253	5,801	157%	5,924	8,715	47%	4,324	39,471	813%	95,864	59,190	-38%	108365	113,177	4%
Zb Life	760	2,156	184%	1,630	2,119	30%	208	460	121%	3,990	2,633	-34%	6588	7,368	12%
Zimnat	275	1,187	332%	1,971	2,074	5%	805	1,078	34%	8,653	9,017	4%	11,704	13,356	14%
TOTAL	7,012	16,081	129%	58,755	79,843	36%	10,149	51,691	409%	139,399	94,433	-32%	215,329	242,048	12%

Figure 2: Business Composition



7.0 Business Composition by Product Class

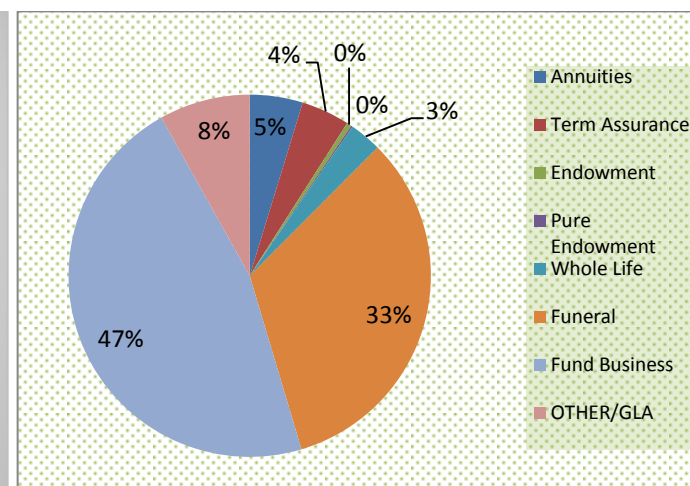
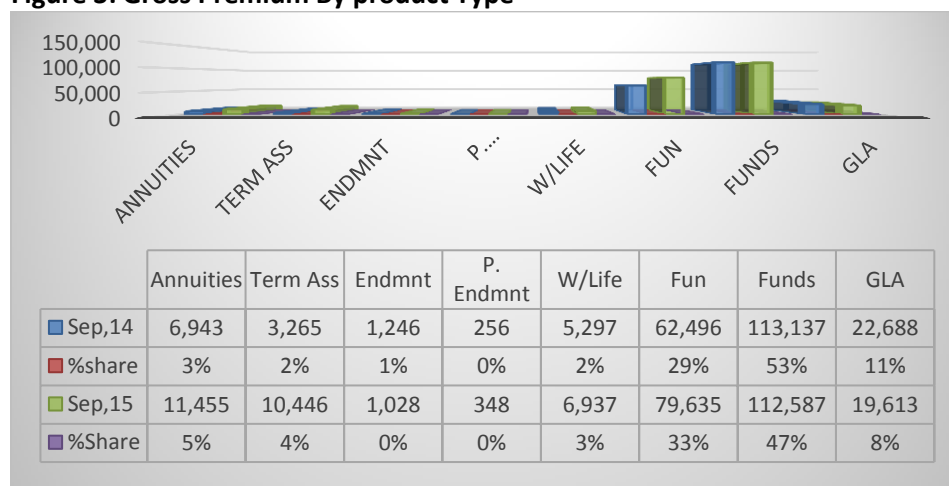
The biggest income stream for life companies was fund business at \$113million or 47% (September 2014:\$113million or 53%), funeral -\$77million or 33% (September 2014:29% or \$62million) and GLA -\$20million or 8% (September 2014:\$23million or 11%) (See Table 4 and Figure 3 below).

As highlighted earlier, the Commission encourages product innovation in conformity with the growth of the informal sector, mobile technology and 'the internet of things' (See Table 4 and Figure 2, below)

Figure 2: Gross Premium Written Business by Policy type for the period ended 30 September 2015

Co.	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%	14-Sep	Sep-15	%
Altfin	2	0	11900	1	85	8400	0	0	0	0	0	0	0	22	0	0	0	0	2,325	1,031	-56	0	0	0	2,328	1,378	-41
CBZ Life	0	0	0	2,345	5,298	126	502	18	-96	0	0	0	0	28	0	3,927	6,191	58	0	0	0	0	0	0	6,774	11,535	70
Econet		0	0	0	0	0	0	0	0	0	0			0		2,293	0		0	0	0	0	0		2,293	0	
Evolution	0	0	0	0	0	0	1	0	-100	0	0	0	500	854	71	83	0	-100	0	0	0	121	0	-100	704	854	21
Fidelity	68	91	34	0	47	0	382	300	-21	125	131	5	344	214	-38	1,893	1,865	-1	4,583	8,944	95	668	0	-100	8,063	11,592	44
FML	4,447	3,600	-19	713	1,654	132	145	191	32	0	0	0	452	642	42	6,821	6,213	-9	8,490	6,831	-20	4,085	4,252	4	25,153	23,383	-7
Heritage	5	10	100	0	0	0	3	0	-100	48	0	0	0	0	0	708	1,194	69	309	0	-100	34	0	-100	1,107	1,204	9
Nyaradzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	44,542	55,908	26	0	0	0	0	0	0	44,542	55,908	26
O.Mutual	2,122	6,726	217	0	0	0	0	0	0	0	0	0	3,559	4,478	26	2,495	3,168	27	86,081	83,487	-3	14,107	15,319	9	108,364	113,178	4
Zb Life	35	24	-31	132	36	-73	213	519	144	83	217	161	44	8	-82	254	275	8	5,827	6,289	8	0	0	0	6,588	7,368	12
Zimnat	264	764	189	74	3,326	4395	0	0	0	0	0	0	398	691	74	1,773	2,528	43	5,522	6,005	9	3,673	42	-99	11,704	13,356	14
Total	6,943	11,455	65	3,265	10,446	220	1,246	1,028	-17	256	348	36	5,297	6,937	31	62,496	79,635	27	113,137	112,587	0	22,688	19,613	-14	215,327	242,049	12

Figure 3: Gross Premium By product Type



5.2.1 Not-taken Up and Lapsed Policies

The industry reported not taken-up policies amounting to \$0.97 million and acceptable lapse ratios which suggest good market conduct. (Table 5, below).

Table5: Lapsed Policies for the period ended 30 September 2015

Co. Name	Lapse Ratios (%)	
	NTU	
Altfin	4	6%
CBZ Life	28	2%
Econet	653	14%
Evolution	0	27
Fidelity	4	0
FML	65	55%
Heritage	0	0
Nyaradzo	0	24%
O. Mutual	3	6%
Zb Life	212	21%
Zimnat	4	8%
Total	973	

7.0 Claims Analysis

For the third quarter ended 30 September 2015, net claims grew by 4% from \$109million to the current \$113million.

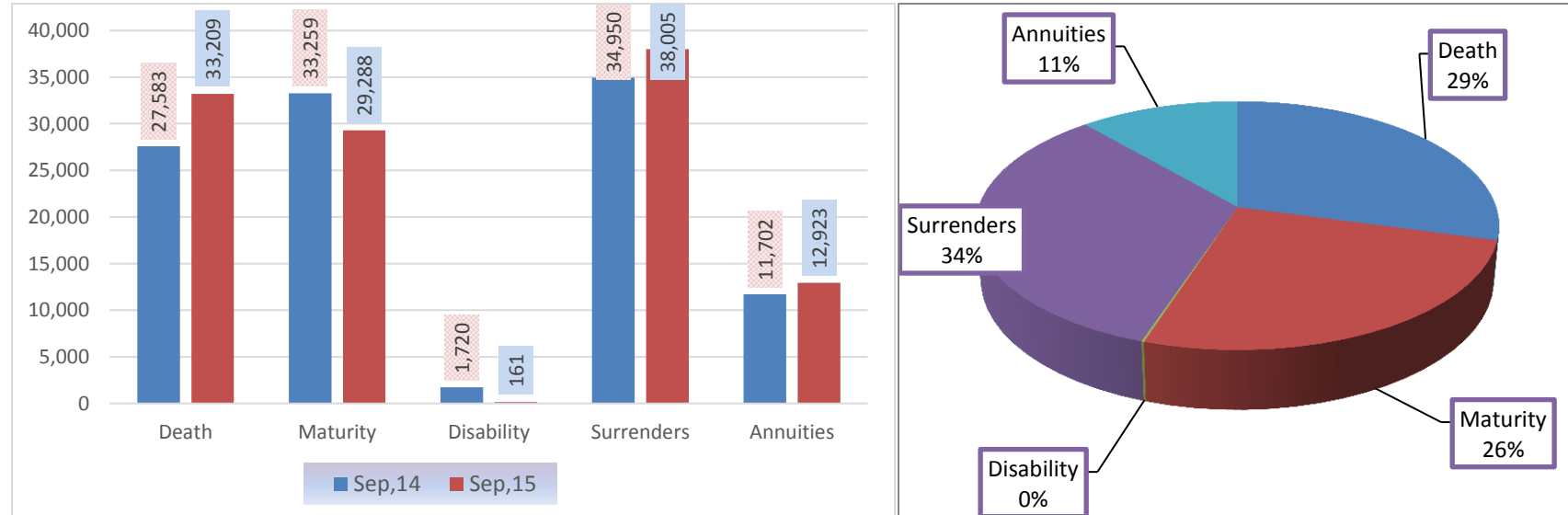
However in gross terms, the major claim categories were surrenders-(\$38million or 33%), death (\$33million or 29%) and maturity (\$29million or 26%) (See Table 6 and Figure 4 below).



Table6: Claims Categories by Company for the period ended 30 September 2015(\$000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)	Sep-14	Sep-15	(%)
Altfin	2	3	50	0	99	0	0	0	0	69	51	-26	497	454	-9	0	0	0	568	607	7
CBZ Life	1,467	1,874	28	25	0	-100	0	13	0	103	0	-100	229	660	188	0	0	0	1,824	2,547	40
Econet	0	364	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	364	0
Evolution	66	89	35	28		-100	0	0	0	0	0	0	0	0	0	0	0	0	94	89	-5
Fidelity	753	1,077	43	164	0	-100	0	0	0	234	34	-85	151	185	23	33	77	133	1,269	1,219	-4
FML	1,248	3,131	151	5,053	1,844	-64	1,624	0	-100	3,162	2,116	-33	1,274	1,302	2	242	6	-98	12,119	8,387	-31
Heritage	135	164	21	1	4	300	0	0	0	19	13	-32	20	8	-60	0	0	0	175	189	8
Nyaradzo	12,378	14,071	14	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	12,378	14,071	14
O.Mutual	8,432	8,845	5	25,690	24,263	-6	96	148	54	30,523	34,015	11	9,210	10,217	11	294	512	74	73,658	76,976	5
Zb Life	1,123	1,473	31	275	137	-50	0	0	0	786	1,640	109	321	97	-70	52	91	75	2,452	3,256	33
Zimnat	1,979	2,118	7	2,023	2,941	45	0	0	0	53	136	157	0	0	0	0	75	0	4,055	5,120	26
Total	27,583	33,209	20	33,259	29,288	-12	1,720	161	-91	34,950	38,005	9	11,702	12,923	10	621	761	23	108,592	112,825	4

Figure 4: Claims Categories by Company for the period ended 30 September 2015 (\$000)



7.0 Claims Aged Analysis

For the current period, life companies owed policyholders claims in the sum of \$3million. Untimely payment not only cultivates reputational but also legal risks and as such, all players must settle all bona fide claims urgently. (See table 7, below).

Table7 : Claims Aged Analysis by Company for the period ended 30 September 2015 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	0	0	1,013	0	87	1,100
CBZ Life	7	0	0	0	39	46
Econet	0	0	0	0	0	0
Evolution	0	0	0	0	0	0
Fidelity	1	0	0	0	0	1
FML	331	40	4	30	944	1,349
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	0	0	0	0	0	0
Zb Life	312	0	18	11	216	557
Zimnat	0	0	0	0	0	0
Total	651	40	1,035	41	1,286	3,053

8.0 Debtors Aged Analysis

For the current review period, life assurance companies reported uncollected premiums amounting to \$6million or 3% of gross written premium. Given gross written premiums of \$249million, the average premium collection rate was 97% (See Table 8, below).

Table8: Debtors Aged Analysis by Company for the period ended 30 September 2015(\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	38	58	80	212	1,354	1742
CBZ Life	313	209	0	0	0	522
Econet	0	0	0	0	0	0
Evolution	51	38	50	52	363	554
Fidelity	288	215	275	0	1,647	2,425
FML	66	142	560	0	0	768
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	243	243
O. Mutual	7	0	0	0	37	44
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Total	763	662	965	264	3,644	6,298

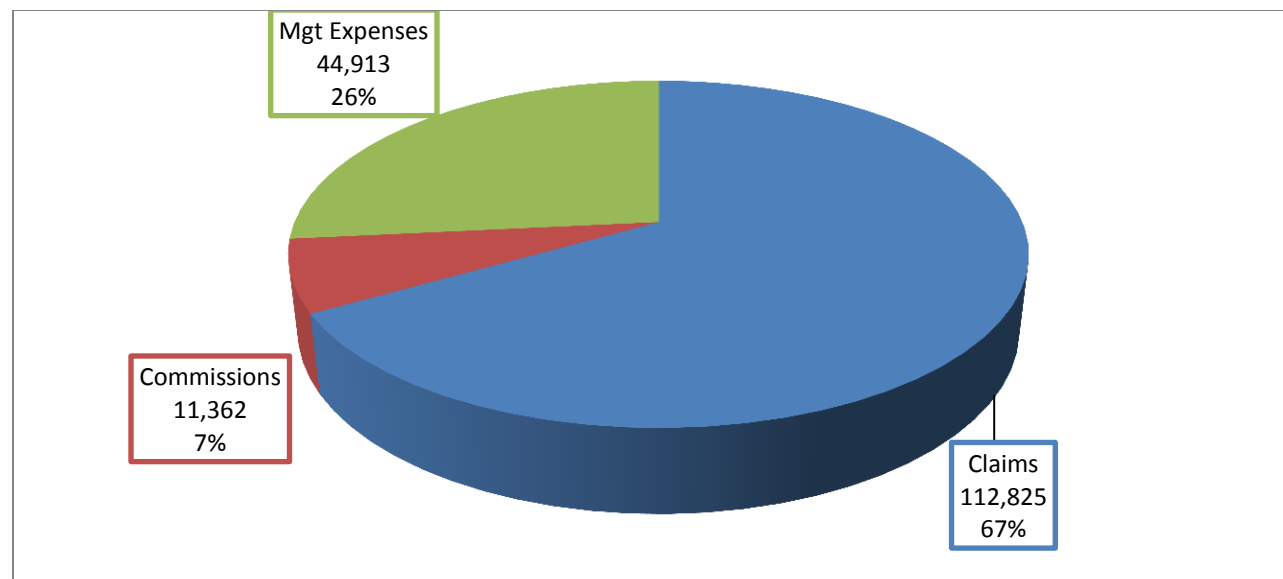
9.0 Earnings

The breakdown of industry expenditure was reported as follows-claims: \$113 million or 67% (September 2014:\$109million or 67%) ,operational expenditure accounted for \$45million or 26% (September 2014:\$43million or 27%) whilst commission was 7% or \$11 million(September 2014:6% or \$9million).Industry reported a combined ratio of 71% (September 2014:76%)showing cost right-sizing efforts-See Table 9, below and Figure 5.

Table 9: Key Income and Cost Indicators By Company for the period ended 30 September 2015

Co. Name	NPW(\$000)		Claims(\$000)			Commissions(\$000)			Management Expenses (\$000)			Total Costs(\$000)			Combined Ratio		
	Sep-14	Sep-15	Sep 14	Sept 15	Growth	Sep 14	Sept 15	Growth	Sep 14	Sept 15	Growth	Sep 14	Sep 15	Growth	Sep 14	Sep 15	Var
Altfin	2,111	1,258	568	607	7%	215	48	-78%	1,143	760	-34%	1,926	1,415	-27%	91%	112%	21%
CBZ Life	6,565	11,126	1,824	2,547	40%	1,043	1,207	16%	1,812	2,506	38%	4,679	6,260	34%	71%	56%	-15%
Econet	0	2,069	0	364	0%	0	9	0%	0	1,302	0%	0	1,675	0%	0	81%	0
Evolution	702	853	94	89	-5%	70	122	74%	459	370	-19%	623	581	-7%	89%	68%	-21%
Fidelity	7,848	11,247	1,269	1,219	-4%	158	242	53%	3,437	4,565	33%	4,864	6,026	24%	62%	54%	-8%
FML	24,910	23,033	12,119	8,387	-31%	1,182	1,249	6%	12,490	10,905	-13%	25,791	20,541	-20%	104%	89%	-15%
Heritage	1,064	1,177	175	189	8%	163	124	-24%	595	757	27%	933	1,070	15%	88%	91%	3%
Nyaradzo	44,542	55,908	12,378	14,071	14%	3,635	4,745	31%	6,688	8,386	25%	22,701	27,202	20%	51%	49%	-2%
O. Mutual	107,520	111,296	73,658	76,976	5%	1,378	1,622	18%	11,281	11,339	1%	86,317	89,937	4%	80%	81%	1%
Zb Life	6,184	7,066	2,452	3,256	33%	651	1,058	63%	3,030	1,379	-54%	6,133	5,693	-7%	99%	81%	-18%
Zimnat	10,897	12,808	4,055	5,119	26%	823	936	14%	2,433	2,644	9%	7,311	8,699	19%	67%	68%	1%
Total	212,343	237,841	108,592	112,825	4%	9,318	11,362	22%	43,368	44,913	4%	161,278	169,099	5%	76%	71%	-5%

Figure5: Key Cost Indicators By Company for the quarter ended 30 September 2015



10. Asset Quality

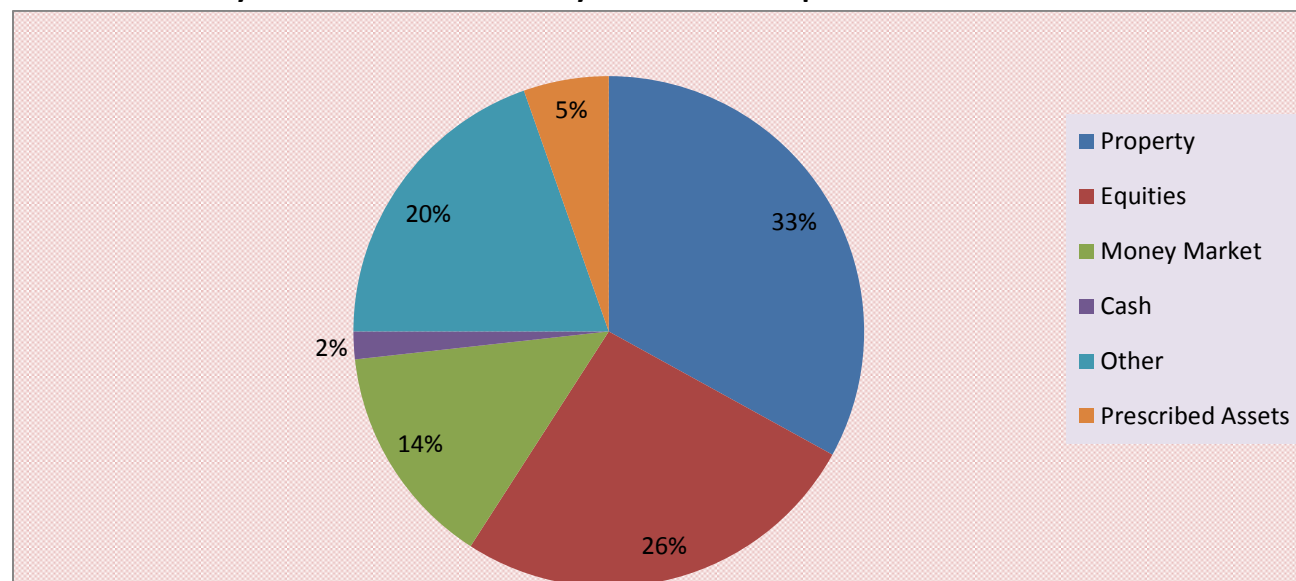
As at 30 September 2015, industry assets were in: properties-33% or \$509million (September 2014: 33% or \$543million), equities-\$402million or 26% (September 2014: \$592million or 36%) money market-\$218million or 14 % (September 2014: \$233million or 14%), cash assets-\$27million or 2% (September 2014:\$21million or 1%) and other assets-\$302million or 20 % (September 2014: - \$206million or 13%).Prescribed asset was reportedly at 5% or \$83million (September 2014: 2% or \$33million).The industry appears to be on course to meet the statutory minimums of 7.5% of total assets by year-end (See Table 10 and Figure 6, below).

Table 10: Life industry Asset bases at 30 September 2015

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Sep 14	Sep 15	%	Sep 14	Sep 15	%	Sep 14	Sep 15	%	Sep 14	Sep 15	%	Sep 14	Sep 15	%	Sep 14	Sep 15	%	Sep 14	Sep 15	%
Altfin	3,043	2,777	-9%	2,888	1,675	-42%	2,490	1,827	-27%	126	252	100%	1,471	565	-62%	643	602	-6%	10,661	7,698	-28
CBZ Life	318	287	-10%	0	0	0%	8,576	11,823	38%	322	763	137%	785	3,066	291%	822	1,590	93%	10,823	17,529	62
Econet	0	0	0%	0	0	0%	0	803	0%	0	1,103		0	432	0%	0	1,644	0%	0	3,982	0
Evolution	30	503	1577%	0	1,258	0%	160	171	7%	6	9	50%	3,304	1,188	-64%	100	100	0%	3,600	3,229	-10
Fidelity	22,726	23,707	4%	6,408	9,199	44%	12,371	6,795	-45%	6,989	766	-89%	16,241	22,230	37%	0	17,018	0%	64,735	79,715	23
FML	13,837	13,138	-5%	26,882	14,078	-48%	4,052	11,936	195%	2,252	2,151	-4%	138,877	142,029	2%	4,561	7,658	68%	190,461	190,990	0
Heritage	701	771	10%	1,282	1,275	-1%	24	14	-42%	11	81	636%	796	999	26%	0	0	0%	2,814	3,140	12
Nyaradzo	24,444	31,722	30%	146	696	377%	8,207	14,098	72%	3,659	6,116	67%	13,058	13,370	2%	1,033	6,831	561%	50,547	72,833	44
O.Mutual	456,907	416,198	-9%	518,718	355,273	-32%	178,448	147,669	-17%	6,150	13,896	126%	25,975	81,590	214%	25,571	43,688	71%	1,211,769	1,058,314	-13
Zb Life	3,433	3,381	-2%	21,291	6,694	-69%	2,951	2,927	-1%	155	259	67%	1,816	33,423	1740%	430	1,744	306%	30,076	48,428	61
Zimnat	17,340	16,850	-3%	13,927	12,273	-12%	15,537	20,293	31%	1,120	1,584	41%	3,827	3,559	-7%	324	2,336	621%	52,075	56,895	9
Total	542,779	509,334	-6%	591,542	402,421	-32%	232,816	218,356	-6%	20,790	26,980	30%	206,150	302,451	47%	33484	83,211	149%	1,627,561	1,542,753	-5



Figure 6: Life industry Asset bases for the half year ended 30 September 2015



11. Capitalization, Solvency and Liquidity Trends

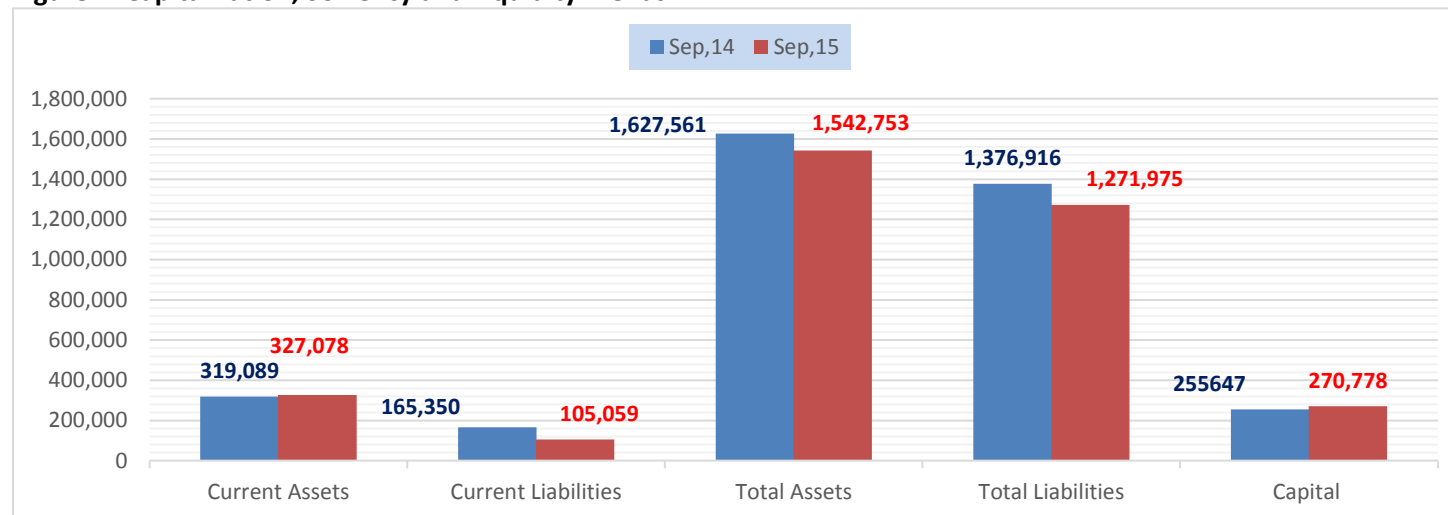
As at 30 September 2015, all life companies, except Altfin, were adequately capitalized to at least \$2million as prescribed by Statutory Instrument 21 of 2013 (See table 11 below). The Commission is working with Altfin as to the next course of action in line with the Insurance Act.

The industry reported capital to liability and liquidity ratios of 21% and 311% respectively (September 2014: 19% and 193%) (See Table 11, below).

Table 11: Capitalization, Solvency and Liquidity Trends As At 30 September 2015 (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Liquidity (Current) Ratio (%)		
	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	%
Altfin	4,512	3,071	-32	9,258	7,179	-22	10,661	7,698	10,253	7,752	-24	408	-54	-113	4%	-1%	-5	49%	43%	6
CBZ Life	10,061	16,635	65	2,156	4,074	89	10,823	17,529	2,925	5,266	80	7,898	12,263	55	270%	233%	-37	467%	408%	-59
Econet	0	1,908	-	0	764	0	0	3,982	0	764	0	0	3,218	0	0	421%	0	0%	250%	0
Evolution	1,145	1,071	-6	444	403	-9	3,600	3,229	642	627	-2	2,958	2,602	-12	461%	415%	-46	258%	266%	8
Fidelity	35,601	40,384	13	9,927	15,318	54	64,735	79,715	53,570	65,860	23	11,165	13,855	24	21%	21%	0	359%	264%	95
FML	13,486	22,160	64	30,082	20,180	-33	190,461	190,990	122,519	122,067	0	67,942	68,923	1	55%	56%	1	45%	110%	65
Heritage	670	882	32	129	338	162	2,814	3,140	303	506	67	2,512	2,634	5	829%	521%	-308	519%	261%	(258)
Nyaradzo	25,830	40,166	56	47,190	6,857	-85	50,547	72,833	47,190	65,434	39	3,357	7,399	120	7%	11%	4	55%	586%	531
O.Mutual	208,445	182,762	-12	61,517	45,513	-26	1,211,769	1,058,314	1,073,891	931,225	-13	142,878	127,089	-11	13%	14%	-1	339%	402%	63
Zb Life	3,885	3,751	-3	2,006	2,375	18	30,076	48,428	27,622	31,269	13	2,454	17,159	599	9%	55%	46	194%	158%	-36
Zimnat	15,454	14,288	-8	2,641	2,058	-22	52,075	56,895	38,001	41,205	8	14,075	15,690	11	37%	38%	-1	585%	694%	109
Total	319,089	327,078	3	165,350	105,059	-36	1,627,561	1,542,753	1,376,916	1,271,975	-8	255,647	270,778	6	19%	21%	2	193%	311%	118

Figure 7: Capitalization, Solvency and Liquidity Trends



Section B

Life Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is centered on 2 players.

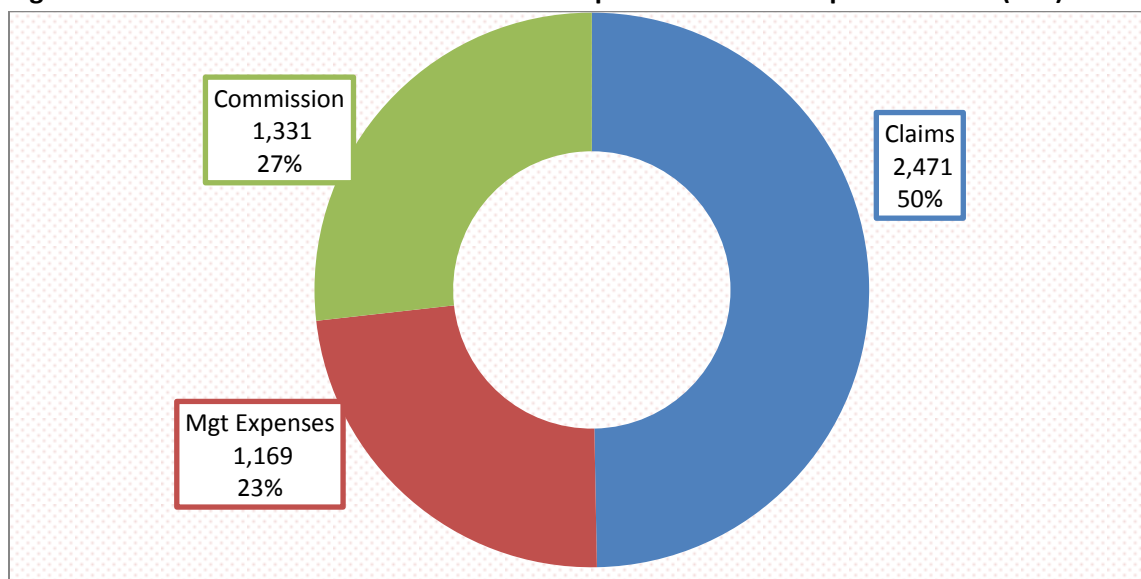
2.0 Business Written

Table 1 below, shows that net premium written declined from \$7.247 million in the comparable period last year to the current \$6.995million. Reinsurers should continue striving to be product innovation champions for our industry given the international nature of their business.

Table 1: Key Performance Indicators for the period ended 30 September 2015(000)

Item	Baobab Re			FM Re			Total		
	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	%
Gross Premium Written	3,910	4,091	5%	3,337	2,904	-13%	7,247	6,995	-3%
Net Premium Written	3,256	3,365	3%	2,877	2,377	-17%	6,133	5,742	-6%
Net Claims Incurred	1,446	1,027	-29%	1,206	1,444	20%	2,652	2,471	-7%
Management Expenses	605	657	9%	367	512	40%	972	1,169	20%
Net Commission Incurred	1,017	771	-24%	983	560	-43%	2,000	1,331	-33%
Total Costs	3,068	2,455	-20%	2,556	2,516	-2%	5,624	4,971	-12%
Underwriting Profit	188	910	384%	321	-139	-57%	509	771	106%
Combined Ratio	94%	73%	-21%	89%	106%	17%	92%	87%	-5%

Figure 1: Cost Drivers for Life Reassurers for the period ended 30 September 2015(000)



3.0 Earnings

For the current reporting period, total costs declined by 12% from \$5,6million to \$4,97million whilst net premium fell by 6%. This indicates a challenging operational environment due to policyholder's liquidity constraints. Resultantly an underwriting profit of \$0.771million was realized. The combined ratio fell from 92% reported previously to the current 87%(See Table 1 and Figure 1 above).

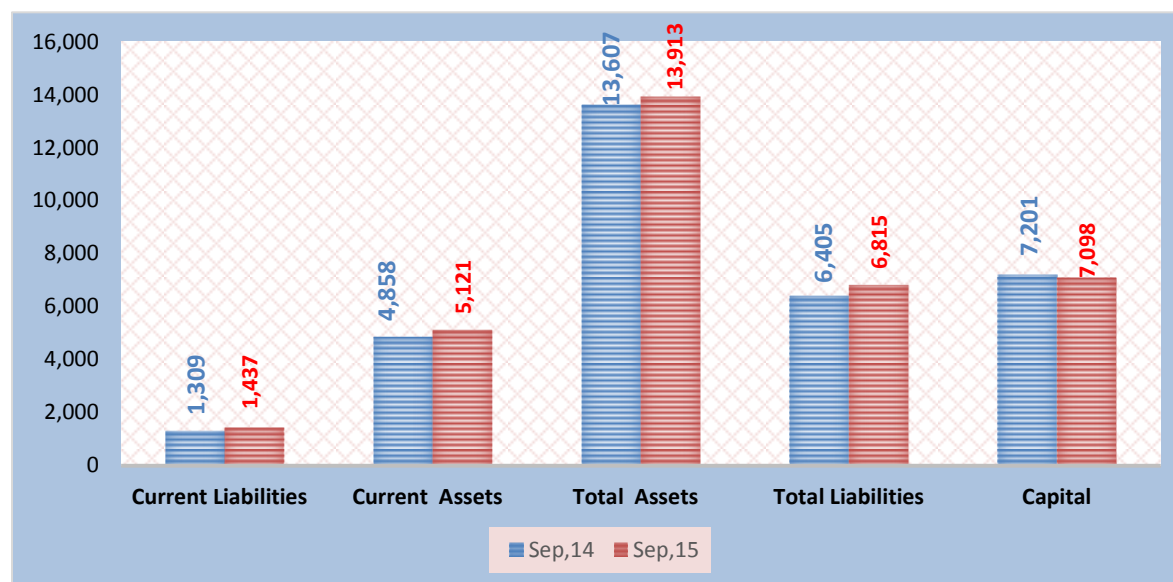
4.0 Capitalization and Solvency

Players are aware that capital levels were raised to \$5 million in respect of reinsurers in the Mid-term Fiscal Policy Statement. Legal enforceability will be pronounced via a Statutory Instrument by year-end and therefore the industry should embark on recapitalization efforts accordingly (See Table 2 and Figure 2, below).

Table 2: Key Performance Indicators for the period ended 30 September 2015(000)

Item	Baobab Re			FM Re			Total		
	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	%
Current Assets	2,769	3,886	40%	2,089	1,235	-41%	4,858	5,121	5%
Total Assets	10,878	12,009	10%	2,729	1,904	-30%	13,607	13,913	2%
Current Liabilities	573	733	28%	736	704	-4%	1,309	1,437	10%
Total Liabilities	4,950	5,807	17%	1,455	1,008	-31%	6,405	6,815	6%
Capital	5,927	6,201	5%	1,274	897	-30%	7,201	7,098	-1%
Prescribed Assets	20	523	2515%	0	0	0%	20	523	2515%
Prescribed asset Ratio	0	4%	0	0	0	0	0	4%	0
Current Ratio	483%	530%	47%	284%	175	109	371%	356%	-15%
Capital to liability ratio	120%	107%	-13%	24%	89%	65	112%	104%	-8%

Figure 2: Capitalization and Solvency Indicators for the period ended 30 September 2015 (000)



5.0 Asset Quality

As at 30 September 2014, reinsurers' assets were invested in :properties-0% or \$0.038million(September 2014:5% or\$0.64 million) ,equities - 8% or \$1,071 million(September 2014:9% or \$1,18million),money- 12% or \$1.607 million(September 2014:20% or \$2.71million),cash-2% or \$0.214million(September 2014:2% or \$0.278 million) and 75% or \$10.46 million was other investments (September 2014:64% or \$8.77million).Prescribed assets status was 4% (See Table 3 and Figure 2,below).

Table 3: Total Assets for Reassurers for the period ended 30 September 2015

Asset Type	Baobab Re			FM Re			Total		
	Sept 14	Sept 15	%	Sept 14	Sept 15	%	Sept 14	Sept 15	%
Fixed Property (000)	0	0		640	38	(94%)	640	38	(94%)
Equities (000)	1,183	1,071	(9%)	0	0	0	1,183	1,071	(9%)
Money Market (000)	778	749	(4%)	1,934	858	(56%)	2,712	1,607	(41%)
Cash (000)	123	95	(23%)	155	119	23%	278	214	(23%)
Other Investments (000)	8,774	9,571	9%	0	889	0	8,774	10,460	19%
Prescribed Assets	20	523	2715%	0	0	0	20	523	2715%
Total Assets (000)	10,878	12,009	10%	2,729	1,904	(30%)	13,607	13,913	2%

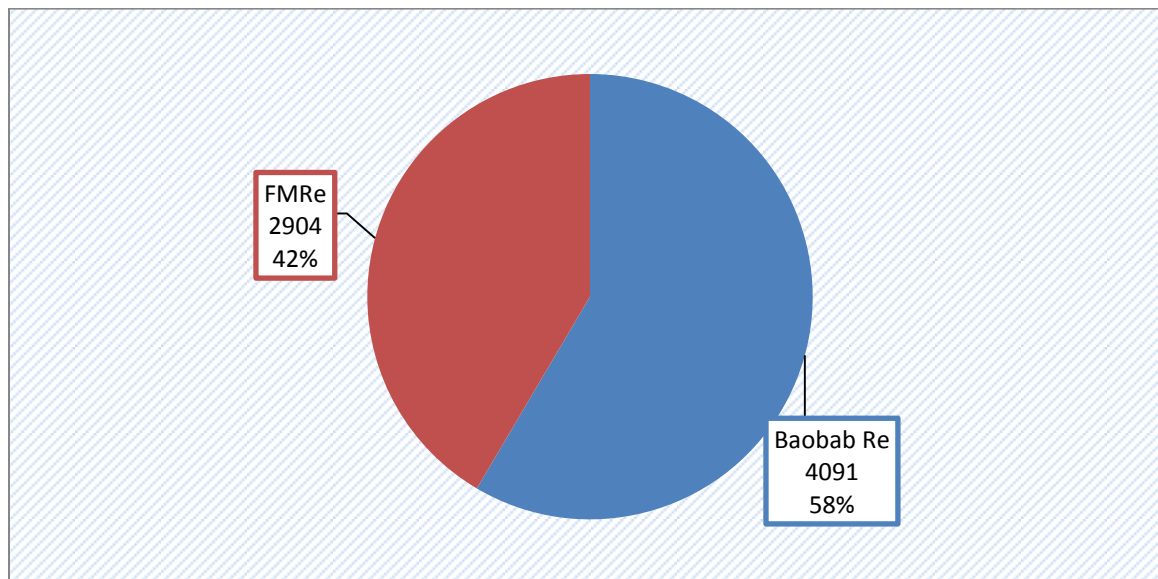
Figure 2: Total Assets for Reassurers for the period ended 30 September 2015(\$000)



6.0 Market Share

Baobab controlled 59% or \$3,365million in net premium written while the balance was attributed to FML Life and Health (See Figure 3, below).

Figure 3: Market share For Reassurers for the period ended 30 September 2015



7.0 Prescribed Assets

Out of a minimum level of 7.5%, the industry's uptake of prescribed paper was 4%. Reinsurers are required to attain full compliance by 31 December 2015 (See Table 8 and 9).

Table 4: List of Approved Prescribed Asset Paper

Issuer	Amount	Bond Description	Coupon rate	Issue date
CABS	\$62.8 million	To fund the servicing and construction of low cost houses in Budiriro	10% p.a	March 2015
Agribank and FBC	\$10 million	Support the 2015/2016 agricultural season	10% p.a	September 2015
Agricultural Marketing Authority (AMA Bills)	\$50 million	Finance the purchase of grain by the Grain Marketing Board	10.5% p.a	September 2015
ZB Agro Bills	\$5 million	Support the 2015/2016 agricultural season	8% p.a	September 2015
Homelink	\$15 million	Development of stands and construction of housing units		

Conclusion

The life assurance sector continues to be affected by legacy issues such as demand- side contraction (as evidenced by policy surrenders) and negative investment returns among others. The industry is urged to cooperate with the on-going Commission of Enquiry on Pensions and Insurance in order to re-energize public confidence related to lost values and pension benefits post dollarization.

